

PARDEE RESOURCES COMPANY

1ST QUARTER 2022



Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q1 2022, Pardee Resources Company earned \$7.03 per share, a 533% increase above the \$1.11 per share earned during Q1 2021. EBITDA per share during the quarter was \$11.62, a 251% increase above last year's level. During the quarter, supply constraints together with strong global demand led to a sharp increase in commodity prices which the Company was well-positioned to benefit from through its portfolio of metallurgical coal, timber, and oil and gas assets. In addition to price improvements, year-over-year production gains from our properties of both metallurgical coal and hardwood timber were achieved. Strong gains from our Virginia rural real estate lot sale initiative also contributed favorably to our Q1 results.

Metallurgical Coal Division: Both contract and spot market prices for metallurgical coal gained ground during the quarter. Domestic contract prices for High Vol-A metallurgical coal ranged between \$150 to \$200 per ton, up from \$70 to \$90 per ton during Q1 2021. With Q1 spot market prices exceeding \$200 per ton, contract prices, which govern most sales, are poised to increase further during 2022 and into 2023. Following the opening of a new deep mine, coal production from Pardee's properties increased 77% over Q1 2021 levels, to 621,739 tons. The production gains, coupled with the doubling of our average earned royalty per ton, resulted in Q1 Division revenues of \$4.72 million, a 161% increase over the \$1.81 million earned during Q1 2021.

Oil & Gas Division: Natural gas prices were strong during the quarter, with the Appalachian Basin index averaging \$4.28 per MMBtu, or 90% higher than the \$2.25 per MMBtu averaged in Q1 2021. Prices were supported by cold winter weather, strong demand from the electric utility sector, and record-high levels of LNG (liquefied natural gas) exports, while overall domestic production was flat. European LNG demand and prices were especially strong due to the supply uncertainties resulting from the Russian/Ukraine war. While Q1 production from our properties decreased 6.3% versus Q1 2021, higher prices drove Division revenues to \$3.09 million, an 81% increase above the \$1.71 million earned during Q1 2021.

Timber & Surface Division: During the quarter, strong domestic and export lumber markets allowed sawmills to maintain the high price levels of Q4 2021. U.S. single-family housing starts, an important metric for both hardwood and softwood demand, were 1.2 million during February 2022 (seasonally adjusted annual rate), the highest level since 2007. Pardee's hardwood stumpage prices during the quarter increased 74% over Q1 2021, while production grew by 26%. Softwood production from our properties fell 46% versus Q1 2021 levels, as harvesting was delayed due to the unavailability of logging crews. Lastly, record quarterly rural real estate lot sale gains of \$958,028, resulting from the sale of valuable riverfront acreage, helped drive Q1 2022 Division revenues to \$3.06 million, 149% higher than Q1 2021 levels.

Alternative Energy Division: The recent increase in the price of natural gas and coal has added urgency for the development of renewable assets for the production of electricity, yet availability of solar panels and rising costs pose challenges for the industry. The Company is working to add to its renewable portfolio while utilizing the federal investment tax credits available for renewable energy projects. During the quarter, Pardee's solar PV facilities produced 3.38 million kWh, 5.8% less than Q1 2021 levels, and Division revenues were \$705,000, 3.8% below the \$733,000 earned in Q1 2021, with the lower results due in part to fewer sunny days at our largest solar facility, which is located in California.

Agriculture Division: The domestic table grape prices remained strong during Q1 2022, boding well for the California table grape harvest later this year. Thus far during 2022, our two table grape ranches have enjoyed favorable weather conditions suggesting that per acre yields will be strong. However, inflationary pressures are likely to increase operating expenses and negatively impact operating margins. Our 420-acre almond tree farm, located in Evora, Portugal (approximately 80 miles east of Lisbon), while still immature, is on track for its first harvest in 2022. The local weather during Q1 2022 was favorable for our almond trees and the important bee pollination was completed successfully. While prices remain under pressure due to over supply, our farm's proximity to the European markets promises meaningful shipping advantages over California growers.

Summary: Thanks to the tireless efforts of our staff, our Company was well-positioned to benefit from the improved commodity markets in Q1 2022. Due to gains from our Metallurgical Coal, Oil & Gas, and Timber & Surface Divisions, quarterly operating revenues increased 112% over Q1 2021, while operating income increased 224%. Lastly, our ending cash balance of \$25.4 million, up from \$20.2 million as of December 31, 2021, positions the Company to meet its dual goals of returning capital to shareholders and investing for future growth.

*Please see page 6 for an update of legal matters.

Sincerely yours,



Chairman
Benjamin A. Burditt

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Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

ASSETS	<u>03-31-22</u>	<u>12-31-21</u>
Current Assets:		
Cash & Cash Equivalents	\$25,376	\$20,177
Accounts Receivable	6,763	7,758
Prepaid Income Taxes	0	121
Other	<u>1,492</u>	<u>1,139</u>
	<u>33,631</u>	<u>29,195</u>
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	27,599	27,921
Mineral Rights - Coal	33,110	33,153
Timber	10,030	10,032
Solar Equipment	20,198	20,525
Building & Structures	1,220	1,223
Agriculture Development	8,918	9,064
Equipment	432	428
Automobiles	171	188
Other Fixed Assets	<u>1,254</u>	<u>1,261</u>
	<u>102,932</u>	<u>103,795</u>
Investments & Other		
Oil & Gas Investments (Net of Depl. & Deprec.)	35,782	36,402
Equity Investments	533	563
Right of Use Asset	3,517	3,578
Other	<u>179</u>	<u>185</u>
Total Assets	<u><u>\$176,574</u></u>	<u><u>\$173,718</u></u>
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	\$1,815	\$3,175
Deferred Revenues	33	712
Income Taxes Payable	1,737	144
Current Portion Lease Liability	<u>404</u>	<u>404</u>
	3,989	4,435
Noncurrent Liabilities:		
Non-recourse Debt	1,134	1,134
Asset Retirement Liability	56	56
Supplemental Pension Plan	510	510
Deferred Revenue, Net of Current Portion	543	390
Deferred Taxes	17,339	17,339
Lease Liability	3,466	3,531
Other	<u>120</u>	<u>104</u>
Total Liabilities	<u>27,157</u>	<u>27,499</u>
Shareholder's Equity:		
Common Stock	775	775
Additional Paid in Capital	13,587	14,484
Accumulated Other Comprehensive Income	(25)	(25)
Retained Earnings	156,058	153,246
Treasury Stock	<u>(24,038)</u>	<u>(25,317)</u>
	146,357	143,163
Noncontrolling Interest	<u>3,060</u>	<u>3,056</u>
Total Equity	<u>149,417</u>	<u>146,219</u>
Total Liabilities & Equity	<u><u>\$176,574</u></u>	<u><u>\$173,718</u></u>

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended <u>03-31-22</u>	Three Months Ended <u>03-31-21</u>
Divisional Revenues:		
Metallurgical Coal	\$4,716	\$1,805
Oil & Gas	3,089	1,710
Timber & Surface	3,064	1,232
Alternative Energy	705	733
Agriculture	<u>38</u>	<u>0</u>
	<u>11,612</u>	<u>5,480</u>
Divisional Expenses:		
Metallurgical Coal	748	642
Oil & Gas	1,061	1,037
Timber & Surface	802	622
Alternative Energy	501	542
Agriculture	<u>491</u>	<u>156</u>
	<u>3,603</u>	<u>2,999</u>
Net Operating Income	\$8,009	\$2,481
Interest and Other Income	14	11
(Loss) Gain on Equity Investment	(2)	5
General and Administrative	(1,741)	(1,530)
Interest Expense	<u>(7)</u>	<u>(7)</u>
Income Before Taxes	\$6,273	\$960
Taxes	<u>1,713</u>	<u>261</u>
NET INCOME	\$4,560	\$699
Net Loss - Noncontrolling Interest	<u>56</u>	<u>31</u>
Net Income - Pardee Resources Shareholders	<u><u>\$4,616</u></u>	<u><u>\$730</u></u>
EARNINGS PER SHARE	<u><u>\$7.03</u></u>	<u><u>\$1.11</u></u>
EBITDA PER SHARE	<u><u>\$11.62</u></u>	<u><u>\$3.31</u></u>
(earnings before interest, taxes, depreciation and amortization)		
Weighted Average Number of Common Shares Outstanding	<u><u>656,647</u></u>	<u><u>655,608</u></u>
Common Dividend Per Share	<u><u>\$1.80</u></u>	<u><u>\$1.80</u></u>

Pardee Resources Company
Comparison Data Sheet

	Three Months Ended 03-31-22	Three Months Ended 03-31-21	% Change
Metallurgical Coal			
Revenues - Millions	\$4.72	\$1.81	160.8%
Production - Coal Tons - Millions	0.62	0.35	77.1%
Royalty/Coal Ton	\$6.81	\$3.42	99.1%
Oil & Gas			
Revenues - Millions	\$3.09	\$1.71	80.7%
Production - bcfe	0.59	0.63	-6.3%
Price/mcfe	\$5.17	\$2.86	80.8%
Timber & Surface			
Revenues - Millions	\$3.06	\$1.23	148.8%
Production - Board feet - Millions	4.80	3.80	26.3%
Stumpage Price/Thousand Bd. Ft.	\$391.22	\$224.93	73.9%
Production - Softwood Tons - Thousands	5.33	9.85	-45.9%
Stumpage Price/Ton Softwood	\$15.25	\$13.95	9.3%
Production - Hardwood Tons - Thousands	15.75	10.86	45.0%
Stumpage Price/Ton Hardwood	\$2.89	\$2.46	17.5%
Alternative Energy			
Revenues - Millions	\$0.705	\$0.733	-3.8%
Production - k/w - Millions	3.38	3.59	-5.8%
Electric Sales Price per k/w	\$0.115	\$0.115	0.0%
Production - SREC Units	3,477	3,588	-3.1%
SREC Price/Credit	\$84	\$82	2.4%
NET DIVISIONAL OPERATING INCOME:			
(Dollars in Millions)			
Metallurgical Coal	\$3.97	\$1.16	242.2%
Oil & Gas	2.03	0.67	203.0%
Timber & Surface	2.26	0.61	270.5%
Alternative Energy	0.20	0.19	5.3%
Agriculture	(0.45)	(0.16)	-181.3%
Net Operating Income	<u>\$8.01</u>	<u>\$2.47</u>	224.3%
EBITDA - Millions	<u>\$7.63</u>	<u>\$2.17</u>	251.6%
(earnings before interest, taxes, depreciation and amortization)			

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

On October 16, 2019, the District Court dismissed the plaintiff's claims against co-defendant Chevron because they were not filed timely. The plaintiff appealed this decision. The District Court denied this appeal and the plaintiff subsequently requested a rehearing from the Court of Appeals. This request for rehearing was denied. The plaintiff later filed a request for discretionary review with the Louisiana Supreme Court which was denied. Discovery is not complete in this case, and a trial date has not been set.

Zinn is vigorously defending both the civil and regulatory actions. This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

DC Solar Solutions, Inc.

In December 2015, the Company invested \$7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that, in December 2018, the U.S. government seized substantially all of the assets of DC Solar and its affiliates. In February 2019, DC Solar and its affiliates, including our lessee, filed for Chapter 11 bankruptcy protection. In February 2019, an affidavit from a Federal Bureau of Investigation special agent was filed in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceedings were subsequently converted to Chapter 7 liquidations. Due to the bankruptcy proceedings being converted to Chapter 7, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge in that amount as of December 31, 2018.

In 2019, an independent audit located and identified all of the 125 MSGs purchased by the Fund in 2015. On July 2, 2020, the DC Solar Bankruptcy Court entered an order authorizing the sale of the Fund's MSGs, along with those of the other DC Solar funds. The buyer conducted an inventory of the MSGs to be purchased and was able to locate only 113 of the Fund's 125 MSGs that had been located during the 2019 inventory. In September 2020, the buyer closed on its acquisition of the 113 MSGs, yielding \$412,225 in gross sale proceeds. As a result of the MSG sale, the Company was required to recapture the fifth unvested year related to the underlying investment tax credit that the original investment yielded. In 2015, the investment allowed the Company to claim a \$5.6 million investment tax credit which requires a five-year holding period. The accounting for this investment tax credit in 2015 created a \$5.6 million tax asset while recording a direct write-off to the equity investment's carrying value. In 2020, the 20% investment tax credit recapture restored the investment's carrying amount to \$1.1 million or 20% of the original investment tax credit claimed. Subsequently, the Company recorded a \$1.1 million charge to 2020 pre-tax earnings related to this recapture. For tax purposes, the \$1.1 million charge is not tax deductible, and 20% of the original tax asset was removed from the Balance Sheet.

The Company remains vigorously engaged with other DC Solar investors, which include several major insurance companies and banks, to determine the best path forward to protect our interests and minimize the financial impact on the Company arising from the DC Solar fraud. Due to various substantial uncertainties, the Company is currently unable to determine the financial impact, if any, arising from this complex situation; however, this impact could be as much as \$6.1 million, which includes related tax impacts.

Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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